

Table 36.1 Identification Guidelines

Characteristic	Discussion
Area, common, or pattern gap	Occurs in areas of congestion (trendless markets) and closes rapidly. Volume on the day of the gap may be high but returns to normal in a day or two. Few new highs (uptrends) or lows (in downtrends) occur after the gap. A distinctive curl as the gap closes is a key indication of this gap type.
Breakaway gap	Identifies the start of a new trend and usually occurs after breaking out from a consolidation region. Is accompanied by high volume on the day of the gap, which continues for several days. The trend continues long enough for several new highs (for uptrends) or new lows (downtrends) to occur after the gap.
Continuation, measuring, or runaway gap	Happens in the midst of a straight-line advance or decline. Price continues making new highs or lows without filling the gap. Volume is usually high, propelling price in the direction of the trend.
Ex-dividend gap	Is triggered by a dividend distribution. Price moves down by the amount of the dividend, and a gap appears if the day's trading range does not close it.
Exhaustion gap	Occurs at the end of a trend on high volume. The gap is not followed by many new highs or lows, and the gap itself may be unusually tall. After the gap, price enters a consolidation region or reverses. Commonly occurs after a continuation gap. The gap closes quickly, usually within a week.
Opening gap	Either partial or full. The gap appears on intraday charts when the opening price gaps away from the prior closing price. Usually closes by day's end (72% do). Full opening gaps have no overlap with the prior day's price bar (that is, comparing the prior day's close to the current opening price). Partial gaps open above or